

most budgets had zero debts. Unfortunately, the normal amount for most families is nearly 8 percent.

When the amount of debt exceeds 7 percent, it is difficult to balance the budget. Remember that all the percentages must add up to no more than 100 percent. When two or three of these categories are over the recommended percentage, the budget will never balance. It means that some kind of an adjustment must be made.

Debt on consumables such as food, clothing, and gasoline is exceedingly difficult to repay. When they're gone, so is the desire to pay for them. Also, since more consumables are needed, the debts continue to pile up. But what happens if you find yourself in a position where you have committed more of your income to creditors than you can realistically pay? Remember that you can only do what you can do. Don't promise more than that. A creditor would much rather receive \$25 a month regularly than a promise of \$50 that you cannot maintain.

Once you have developed a budget and know how much money is necessary for you and your family to live on and how much you can pay, contact your creditors. Be honest about your situation, and then arrange some kind of equitable payment plan.

You may have to sacrifice to get current, including eliminating all credit or selling your second car. It may mean repairing that refrigerator or washing machine that you were going to trade. It may also mean surrendering vacation money to your creditors. Do whatever you must to bring your debt burden back under control; determine your priorities; and stick to them. Scripture commands: "Do not withhold good from those to whom it is due, when it is in your power to do it. Do not say to your neighbor, 'Go, and come back, and tomorrow I will give it,' when you have it with you" (Proverbs 3:27-28).

THE WORST FINANCIAL DECISIONS I HAVE SEEN

I have made a list of what I call the three worst financial decisions a family can make: